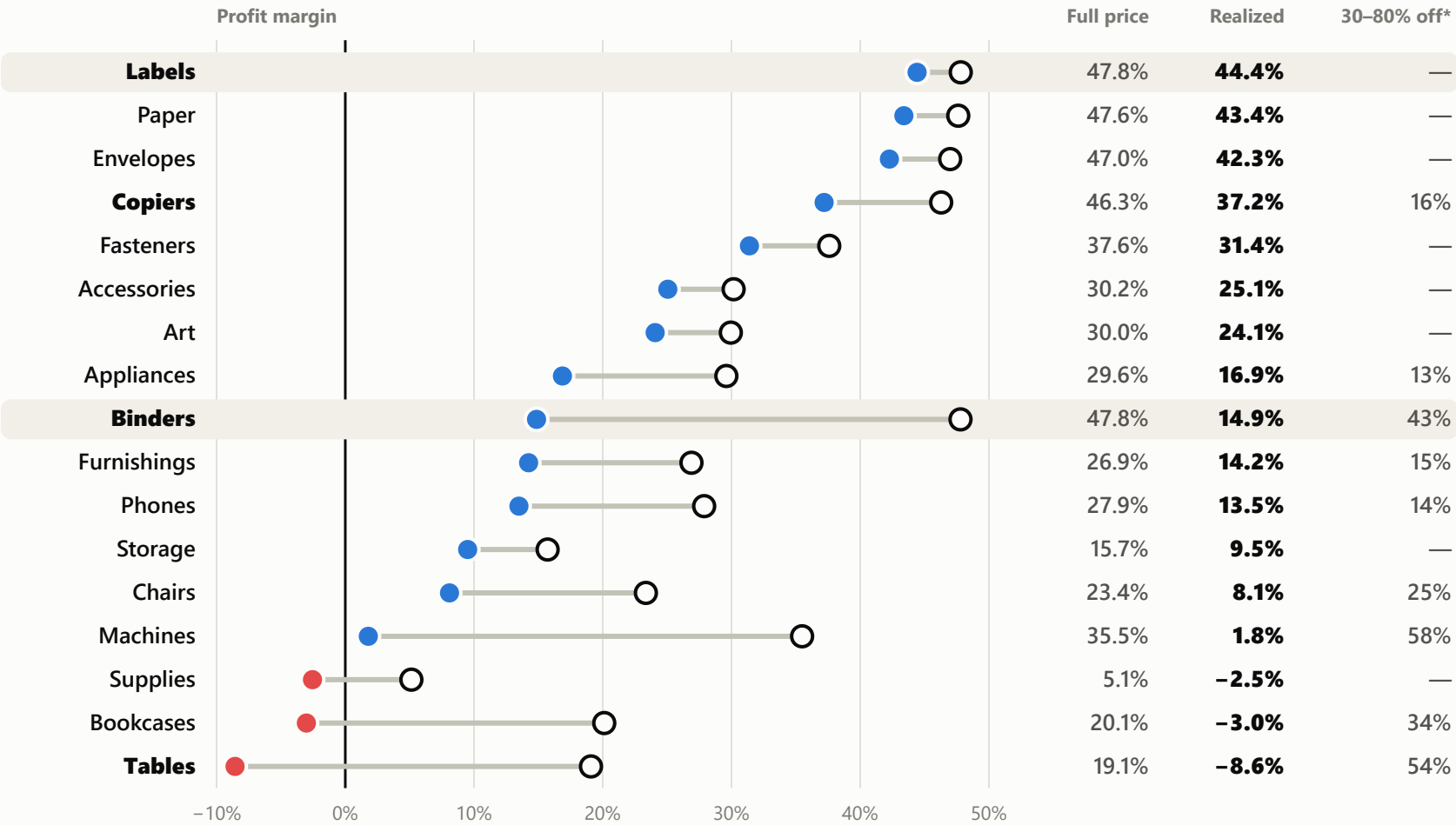


Which product sub-categories drive the highest profit margins?

FINDING Labels (44.4%), Paper (43.4%) and Envelopes (42.3%) earn the highest realized margins and Copiers earn the most total profit (\$55.6K), while sub-categories sold at deep 30–80% discounts or with thin full-price margins keep far less, with Tables losing \$17.7K.

Profit margin by sub-category: at full list price vs. realized

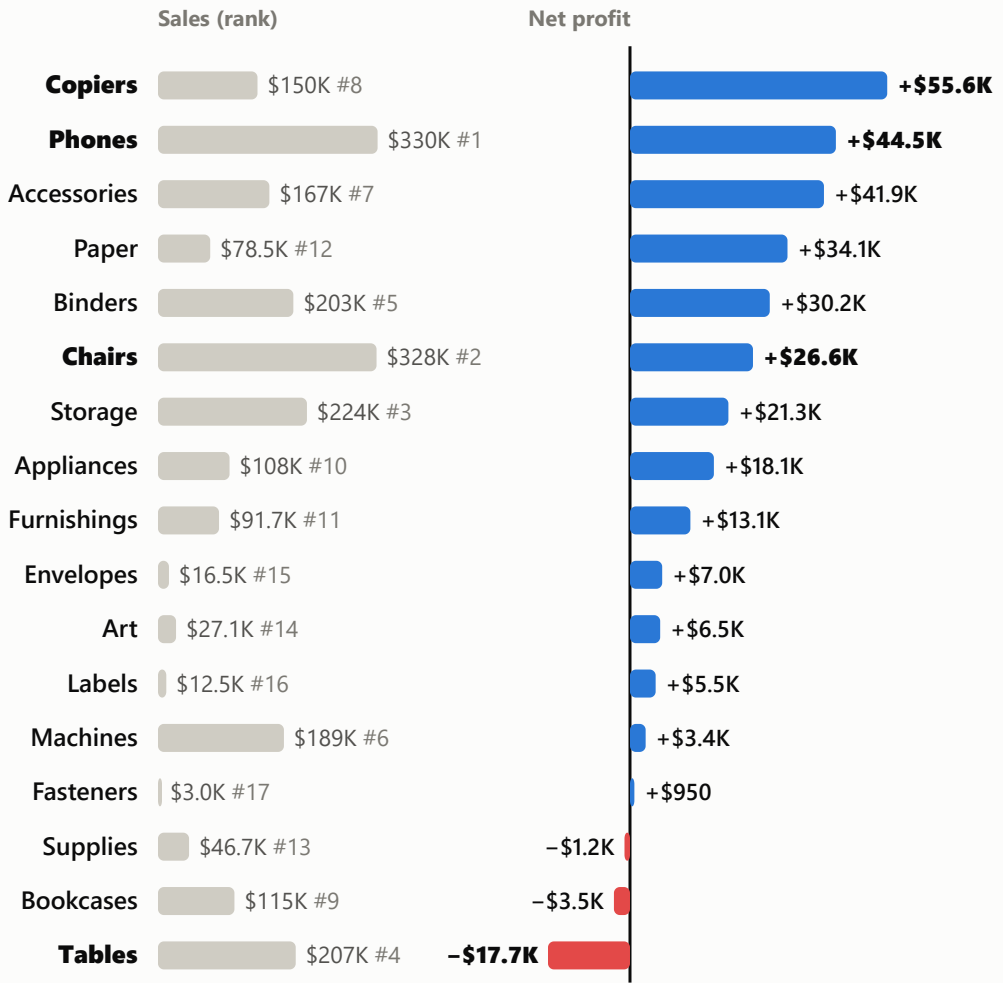
Sorted by realized margin (profit ÷ sales). The gap between the two dots is margin given up to discounts. Labels and Binders start from the same ~47.8% full-price margin.



○ margin if sold at full list price ● realized margin ● negative realized margin * share of list-price value sold at 30–80% discount

High sales ≠ high profit

Sorted by net profit. Copiers earn the most profit from the 8th-largest sales; Phones and Chairs lead sales but not profit; Tables lose money on the 4th-largest sales.



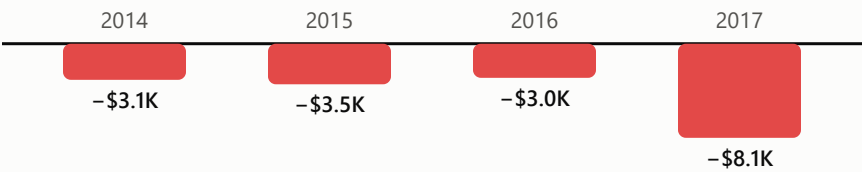
MOST TOTAL PROFIT

Copiers +\$55.6K

37.2% realized margin on \$149.5K of sales (#8 in sales). Highest realized margins: Labels 44.4%, Paper 43.4%, Envelopes 42.3%.

TABLES · LOWEST NET PROFIT

-\$17.7K, negative every year



BINDERS · DEEP DISCOUNTS

47.8% → 14.9%

Full-price vs realized margin. Binders still net +\$30.2K; binding machines (list price ≥ \$100) account for 77.9% of Binders' line-level losses.



Method. Realized margin = total profit ÷ total sales. Full-price margin = margin if every line had been sold at list price (list price = Sales ÷ (1 – Discount)); each product's unit cost is fixed in this data). Line-level losses = total profit of order lines with negative profit. Binding machines = Binders products with a list price of \$100 or more. **Data:** Sample - Superstore.csv, 9,994 order lines, 5,009 orders, 2014–2017; overall margin 12.47%. The discount structure is highly rule-generated (fixed rates per state × sub-category); findings describe this dataset, not real-world retail behavior, and show associations rather than causes.